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Syndication and cross-border collaboration by venture capital firms in Europe and the USA: a comparative study

Keith Arundale

ICMA Centre, Henley Business School, University of Reading, Reading, UK

ABSTRACT

Syndication occurs when two or more venture capital (VC) firms invest in the same deal in order to pool resources, information and knowledge and to share financial risk amongst syndicate members. The extent to which US VC firms syndicate with UK/European VCs on UK/European deals (and vice versa) has received little empirical study. This study reviews syndication amongst UK/European and US VCs in order to ascertain their rationales for syndication: themes that are explored include risk sharing, additional finance, and/or value add from the different expertise of syndicate members. The study considers if there are issues with the alignment of interests of syndicate members internationally across borders. The research reveals that whilst European VCs appear willing to syndicate with US VCs, some US VCs have historically been reluctant to syndicate with European VCs. The reasons for this reluctance are addressed and suggestions for greater co-operation between European and US VCs proposed. Funding from US VCs, through collaborative syndicates with European VCs, is necessary to supplement the lack of patient capital in Europe which is required in order to scale up potential high-growth companies.

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Alignment of interests; collaboration; investment terms; syndication; venture capital

1. Introduction

Syndication occurs when two or more than one venture capital (VC) firms participate in a deal, each putting in part of the total equity package for proportionate amounts of equity, usually with one VC firm acting as lead investor (Arundale 2007). VC firms often syndicate with other VC firms in this way as opposed to investing in ventures on their own (Hochberg, Ljungqvist, and Lu 2007; Nanda and Rhodes-Kropf 2018). Syndication occurs for a number of reasons: to enable more finance to be provided to an entrepreneurial venture through the pooling of monies from individual VC firms, to diversify the risk of a single VC investor so that it is shared across two or more investors, to improve screening and initial assessment of deals and to increase value-adding activity through the different skill sets and networks of the individual VC firms (Sapienza, Manigart, and Vermeir 1996; Wright and Lockett 2003; Bruining et al. 2005). In addition to syndicating with other VCs, VCs might also co-invest with corporate investors for strategic benefit (Hellmann 2002; Riyanto and Schwienbacher 2006). Syndication in

these ways can help to improve investment performance through the additional financial capital provided to enable companies to expand and scale and the additional human capital engaged on deals in terms of the sector knowledge, expertise and contacts of syndicate members.

For portfolio companies that are seeking to internationalize their operations, syndication with overseas VCs can provide the necessary introductions to local sources of business, information on country-specific regulations and laws and assimilation into local cultures and ways of doing business. The VCs themselves can share best practices, contacts and information across borders in addition to securing larger amounts of finance from overseas investors than might be available from within one particular country. US VCs, for example, have larger fund sizes on average than UK and continental European VCs and are therefore in a better position to help companies to scale internationally. Investee companies backed by a syndicate of both domestic and cross-border venture capital firms outperform those backed by domestic or overseas VCs alone in terms of the growth in sales, total assets, and payroll expenses (Devigne et al. 2013) and so international collaboration of VCs is to be encouraged.

Syndication of VC firms across borders is an increasing phenomenon (Bottazzi, Da Rin, and Hellmann 2016). For example, the data provider Beauhurst, who track the UK's non-listed high-growth companies and their investors, reveal that "2017 saw the highest level of foreign investment into the UK's ambitious, high-growth firms" with some £6bn invested in 396 deals involving at least one foreign investor (Beauhurst 2018, 1). Subsequently Q2 2019 was the best quarter on record, at 114 deals, for UK deals completed that included at least one foreign investor (Beauhurst 2019) with some 384 deals worth £8.6bn for 2019 as a whole. Nevertheless, the extent to which US VCs syndicate with UK/European VCs on UK/European deals (and vice versa) or invest on their own has received little empirical study. This study reviews syndication amongst UK/European and US VCs in order to ascertain their rationales for syndication, such as risk-sharing, additional finance and/or value add from the different expertise of syndicate members. It considers if there are issues with the alignment of interests of syndicate members internationally across borders, for example with timing of exits and with the collaborative culture of US VCs compared to the more proprietary, and more risk averse, culture of some UK and continental European VCs.

This paper investigates the challenges to international syndication by US VCs investing in UK/European companies and offers proposals to meet these challenges in order to encourage greater syndication by US VCs with European VCs. This is important because both the UK, and Europe as a whole, has become increasingly dependent on overseas finance to provide the capital needed to help potential fast-growth companies to scale. It is generally acknowledged that a lack of patient capital to finance the continued growth of entrepreneurial companies is a major economic weakness in UK/Europe; there is less concern currently about the adequacy of finance to start-up companies (HM Treasury 2017; Duruflé, Hellmann, and Wilson 2018). Patient capital may be defined as "long-term investment provided to innovative companies to help them scale up." This lack of later stage capital for scale-up purposes is due, at least in part, to the relatively small size of VC funds in Europe compared to their US counterparts (Lerner et al. 2011; Arundale 2018) with European VCs being less able to provide follow-on financing for expansion and growth. High-growth companies in Europe have therefore become dependent on finance

from US VCs and other overseas investors for later stage, scale-up purposes (Hellmann et al. 2016).

2. Literature review

2.1. Theoretical constructs for syndication

Resource-based theory, social network theory, and prisoner's dilemma theory are the most relevant theoretical constructs pertaining to syndication. Bygrave (1987) used a resource exchange model (Pfeffer and Salancik 1978) to study syndication by VC firms. He identifies three structural variables in resource exchange theory which determine how organizations interact with each other: concentration, munificence, and interconnectedness. Concentration of VC firms can be in terms of regional segmentation and industry sector segmentation. Munificence are the resources that VC firms work with in terms of money, deal flow and people to manage their investments. Interconnectedness are the linkages which VC firms use to reduce uncertainty. For example, a VC is more likely to invest in a proposal that is referred to them by another VC and potential syndicate member than in one that comes to them without such an introduction (Baty 1981). The level of uncertainty experienced by VC firms determines the frequency of networking among VC firms in syndicates (Bygrave 1987). There are overlaps between resource-based theory and social network theory in the context of VC networks. There is also some overlap with organization theory and the personal networks that are established between VCs, based on mutual trust, which aid information sharing (Florida and Kenney 1988; Luo et al. 2019). Prisoner's dilemma theory is also relevant to the members of syndicates in VC investments. Cooperation between parties is easier if the parties are similar to each other and have the same goals (Cable and Shane 1997). If the balance of power between the parties is equal the more likely they are to cooperate (Pruitt and Kimmel 1977).

2.2. Rationale for and benefits of syndication

Much of the existing literature on syndication is concerned with the rationales and motives for syndication. Bygrave (1987) showed that sharing of information and knowledge is more important than the spreading of financial risk as a reason for networking (syndication). Syndication can be used to reduce the impact of information asymmetries on an investment (Engel 2004). It may also help to reduce VC firm-specific risks by enabling firms to invest in more deals than they could by investing alone. It can provide a second or third opinion on potential deals which should also reduce risk as more information is shared about deals from the various syndicate players (Gompers and Lerner 2001). This helps to avoid bad investments and hence should improve VC fund returns. It can of course provide much greater financial resources to bring to bear on investments than could be obtained from a single investor (Manigart et al. 2006). From the viewpoint of an entrepreneur or management team seeking finance for a business enterprise syndication makes available the combined funding and business and investment experience of all the VC partners to the benefit of the company. Schwienbacher (2008) cites the reasons for syndication as risk diversification, to improve screening of deals, to involve a corporate investor, to increase value-adding activity post-investment, to help secure distribution channels and/or important customers which

would help, for example, to speed up the introduction of a new technology as a market standard, and to obtain “certification and reputation effects” through syndication with more experienced VCs. Similarly Hege, Palomino, and Schwienbacher (2009, 16) refer to the leading motives for VC syndication as “improved screening of deals by securing a second opinion in the due diligence process, complementarities in the monitoring and advising of companies and the sharing of information and pooling of contacts in the exit phase.” Leleux (2007) comments that syndication assists two key areas that impact on performance: sourcing high-quality deals and nurturing investments. Checkley et al. (2014) found that performance of VC firms in UK is positively related to connectedness with other VCs and greater connectedness is a precedent to improved performance (measured by number of IPOs). The performance advantage is due to the network connectedness with access to skills, information, and social ties as opposed to the financial resources of the syndicate members. Checkley et al. (2014) also found that VCs prefer to syndicate with well-connected VCs and with VCs having offices in the same region of the UK.

Syndication can be used to reduce the impact of information asymmetries and reduce risk as more information is shared about deals by the different syndicate members (Gompers and Lerner 2001; Engel 2004). VCs may collaborate in several areas of the deal process including deal sourcing and clubbing together to invest in seed deals, at the due diligence stage sharing information and knowledge about the technical and market aspects of a deal, and at the value add stage where the different expertise of the different VCs in a syndicate can be pooled together for the benefit of portfolio companies.

2.3. *International comparisons*

International aspects of syndication have also been studied. Schwienbacher (2005) found that syndication is used more often in the US than in Europe and the average size of syndicates is larger in US than in Europe. However, syndication is also common in Europe, with an earlier study by Bottazzi, Da Rin, and Hellmann (2004) reporting that, in their sample of some 150 European funds, almost half of the deals were syndicated with more than 75% of firms taking part in a syndicated deal.

Finance considerations were found by Manigart et al. (2002) to be more of a driver for syndication in Europe than the sharing of resources, or indeed improving deal flow, which is a more significant motive for syndication in the US. Less availability of capital due to smaller fund sizes and the desire to share the risk on deals are strong drivers for syndication in Europe; amounts invested in early-stage companies are significantly larger in US than UK (Clarysse, Knockaert, and Wright 2009). Manigart et al. (2006) found that, whilst “the finance motive is the most important motive for syndication” (143), it was more important for smaller fund size VC firms than for larger firms. European VCs viewed syndication as a means to increase the diversification of their portfolio, to allow them to invest in larger deals and to improve access to future deals. Manigart et al. (2006) also reported that syndicating for monitoring and adding value purposes were less important factors for European VCs.

2.4. *Cross-border syndication*

There have been relatively few studies of syndication by VC firms across borders (Bottazzi, Da Rin, and Hellmann 2004, 2016; Wright, Pruthi, and Lockett 2005; Mäkelä and Maula

2008; Zhong, Lam, and Harris 2019). As cross-border investments have been shown to significantly underperform compared with the equivalent domestic investments (Buchner et al. 2018), foreign VC firms may syndicate with local VCs to improve performance and alleviate information asymmetries due to unfamiliarity with local laws, cultures, and customs, for example in the case of foreign VC firms investing in China (Luo et al. 2019). Domestic VCs, particularly in emerging economies, may benefit from the greater investment experience of European and US VC firms (Khurshed et al. 2020). When overseas VCs enter into a syndicate they often do so at a later stage, following initial investment from a local VC (Mäkelä and Maula 2008). Overseas investors may be attracted by the lower valuations offered by opportunities available outside of the more competitive environment in their own countries, with Silicon Valley being a prime example of this. In turn, domestic VCs may welcome the additional capital (and expertise) that can be brought to bear where there is a lack of local patient capital to scale companies as is the case in the UK (HM Treasury 2017). However, as discussed below, there is potential for greater coordination friction in an international syndicate with different cultures, laws, and propensity for risk.

In the specific context of UK/European and US VC syndicates, Hege, Palomino, and Schwiendbacher (2009) and Lerner et al. (2011) report that UK VC funds performed well when investing in USA but the performance of US VC funds was worse when investing in Europe. UK VCs may benefit from the experience and expertise of US VCs in their syndicates when investing in the USA; US VCs may have less of an influence as they tend to invest at the later stages in a UK company (Hellmann et al. 2016), following earlier UK VC investment. Alternatively, it could be that it is the characteristics of the investee companies, and their environments, which is leading to this disparity in performance.

Whilst it might be expected that international syndication is increasing as the VC market becomes more global, Marston et al. (2013), in their report for Nesta, found that VC funds in US, and also UK and Europe, were actually becoming less international in their outlook. In the period 1990 to 2007 almost a third of US funds had invested outside their home region but this had reduced to a quarter for the period 2008 to 2012, possibly as a consequence of the global financial crisis. Marston et al. (2013) were particularly interested in US VCs investing in UK. They found that whilst the US VC interviewees in their study were “generally favourable” about the UK as an investment location, various barriers to investing in the UK were mentioned. These were summarised as: distance (the need to be close to a founding team within 2 hours of travel time), negative past experience of investing in UK (in terms of the historic lower performance of UK VC funds), fund agreement restrictions (UK LPs specifying that investments be made domestically), lack of familiarity with overseas tax arrangements, and the UK being expensive in terms of locations for doing business (especially for London-based companies). However, Harrison et al (2020) have found a significant increase in US VCs investing in the UK from 2002 to 2017.

2.5. Coordination issues in syndicates

Nanda and Rhodes-Kropf (2018) discuss coordination frictions in VC syndicates, the tensions that can arise between investors with different incentives, objectives, and cash flow rights who nevertheless need to collaborate to help make a syndicated venture

a success. These include the following: later entrants to a syndicate not having the same degree of information on an investment as the current investors (“insiders versus outsiders”); differing views as to whether to follow-on an investment with further rounds of finance or to abandon the investment; differing fund sizes with larger VCs more able to allocate funding for subsequent rounds; differences in the stage and state of the VCs’ limited partnership cycles; re-financing risk due to state of the “boom and bust” cycle; differences in the effort that members of a syndicate put into the monitoring of the investments; and less active members of a syndicate benefiting from the work of others. Any or all of these frictions can lead to conflict within the syndicate team. Frictions can be mitigated by choosing syndicate partners with similar characteristics whose incentives for doing the syndication are more likely to be better aligned. Nanda and Rhodes-Kropf (2018) did not consider the specific coordination frictions that arise within international VC syndicates; possible frictions between European and US VC investors are specifically considered in this study.

One of the frictions that can arise in a syndicate concerns the decision when to exit from an investment. European VCs tend to exit their investments earlier than US VCs (Arundale 2018). As a result, European VCs achieve less than optimal realizations for their investments which produces lower returns for their funds. US VCs are prepared to wait for a better exit in order to achieve optimal gains from their investments. The tendency to exit earlier may be due to pressure from limited partner investors to show returns on the funds or may be related to the need to demonstrate realized returns when fundraising for subsequent funds. The tendency of European VCs to exit earlier is in contrast to earlier quantitative studies that showed that the duration of the exit stage is longer in Europe. For example, Schwienbacher (2008) refers to the less liquid exit markets in Europe which they conjecture causes European VCs to wait for longer until they find exits.

Devigne, Manigart, and Wright (2016) found that VCs investing in their own countries tend to continue to support poorer performing companies, for example by providing further finance (escalation of commitment), whilst those VCs investing across borders outside of their own countries are more likely to terminate poor investments. This applies even when the latter invest through a local office and can be explained by the lower social environmental and emotional involvement that they have with these international investments.

2.6. Research gap

Whilst there has been considerable research into the rationale and benefits of syndication amongst VC firms and the extent of syndication by VC firms from different countries, there are few studies that consider cross-border syndication. The studies referred to above do not consider the propensity of European VCs to syndicate with US VCs and the benefits that may be achieved from European and US VCs working together, nor do they consider the issues and frictions that may arise in syndicates comprising European and US VCs. It is important that European and US VCs collaborate together on deals, particularly in the context of investing in the UK and Europe, as UK/European VCs on their own are generally not able to finance fast-growth entrepreneurial companies through the expansion and scale-up stages. US VCs have greater resource in terms of funds available to help achieve

this. This research contributes to the literature by contrasting the propensity of European VCs to syndicate with US VCs and vice versa. The rationale and motivations of the European and US VCs for syndicating with each other are discussed and any issues with collaboration are considered.

3. Research methodology

Operating within the context of the critical realist philosophical framework (Bhaskar 2011) the study used a mixed methods approach (Creswell 2014) with qualitative, semi-structured interviews using thematic analysis to identify emergent themes (Boyatzis 1998) combined with a quantitative review of secondary data (VC syndication activity data, where available).

Using a unique dataset established through the thematic analysis of transcribed interviews with 64 VC firms from Europe and US conducted in the wider study of VC investment practices (Arundale 2018), the factors relating to syndication by the VCs were extracted and a comparison made between syndication by UK/European VCs and syndication by US VCs. Embracing engaged scholarship (Van de Ven 2007) the approach taken in setting up the dataset was to carry out interviews of around 1 hour's duration with senior investment executives from 64 separate VC firms (24 from UK, 15 from continental Europe, and 25 from US – Table 1). The interviews covered the entire investment process from origination through execution (including syndication) and monitoring to exiting deals.

Interviews with 40 related stakeholders were also undertaken (15 from UK, 4 from continental Europe, and 21 from the US – Table 2). These stakeholders included limited partner investors in venture capital funds, entrepreneurs, advisors to the industry, corporate venturing investment executives, and others who are deeply involved in the industry. The comments of these interviewees relating to the syndication activity of European and US VC firms were reviewed and compared with those of the VC interviewees.

There are relatively few studies that have employed qualitative interview techniques to investigate VC firm investment practices. The majority of VC studies use quantitative techniques on large data sets applying statistical analysis of variables and/or survey techniques involving questionnaires sent to a large number of participants for completion. Muzyka, Birley, and Leleux (1996) refer to the VC community's negative attitude towards such surveys. Whilst not specific to venture capital, Meyer

Table 1. Locations of VC firms in sample.

Europe (39)	UK 24, France 3, Germany 3, Ireland 3, Scandinavia 2, Spain 1, Switzerland 2, Netherlands 1
US (25)	California 13, Boston 4, Pittsburgh 4, Baltimore 1, Cincinnati 1, New Jersey 1, New York 1.

Table 2. Categorization of stakeholders in sample.

	Limited Partners	Entrepreneurs	Advisors	Corporate VCs	VC related	Others
Europe (19)	4	4	4	3	3	1
US (21)	3	2	3	3	4	6

(2011) has criticized research in the area of entrepreneurship as becoming too method-centred and focused on the manipulation of databases which results in researchers being distanced from actual entrepreneurs. This study engages with the real world of VC firms; hence, there is a focus on interviews with VCs and other stakeholders and not merely the analysis of datasets. Sanders, Lewis, and Thornhill (2019) quoting Easterby-Smith, Thorpe, and Jackson (2008) and Jankowicz (2005), state that an interview will be the most advantageous approach to obtaining data when (1) there are a large number of questions to be answered, (2) where the questions are either complex or open-ended, (3) where the order and logic of questioning may need to be varied. Where (2) and (3) are present a semi-structured interview will be the most appropriate. These three factors are all present in the current study and a semi-structured interview process was therefore adopted.

The VCs and stakeholders interviewed in the research formed a purposive sample drawn from membership of professional VC associations and from the author's and others contacts in the industry. The sample size of VC firms (64 separate firms and stakeholders (40 individuals) utilizes the concept of saturation and also allows for the assessment of variation between the distinct VC and stakeholder groups in terms of geographical location and focus. It comfortably exceeds the 25–30 interviews that Sanders, Lewis, and Thornhill (2019) suggest should be undertaken where the focus of a research question is wide ranging.

As shown in Table 3, the VC firms were sourced from a cross-section of stage and sector specialisms. US VC funds, with an average size of \$282 m, were considerably larger than UK and continental European funds, which had average sizes of \$168 m and \$128 m, respectively. The larger size of US funds reflects the more plentiful supply of money in the VC sector in the US and contributes to the overall better performance of US VC funds. There is generally more finance available to fund young, high-growth businesses in the US and to permit them to continue to grow and scale. Some firms invested across the broad spectrum of IT and life sciences; others were more specialized in one or both of these sectors, with some having a narrow focus on specific areas, such as digital media.

Table 3. Size of fund, sector and stage stratification of VC firms in the sample (Source: Arundale 2018).

No. of firms	US	UK	Continental Europe
<i>Size of fund¹</i>			
Small (<\$84 m)	3 (12%)	9 (38%)	8 (53%)
Medium (\$84 m – \$365 m)	12 (48%)	13 (54%)	6 (40%)
Large (>\$365 m)	10 (40%)	2 (8%)	1 (7%)
<i>Sector</i>			
IT	10 (40%)	8 (33½ %)	2 (13%)
Lifesciences	3 (12%)	2 (8%)	1 (7%)
Mixed	11 (44%)	8 (33½ %)	10 (67%)
Focused	1 (4%)	6 (25%)	2 (13%)
<i>Stage</i>			
Seed/early	11 (44%)	11 (46%)	9 (60%)
Venture (incl early)	12 (48%)	13 (54%)	6 (40%)
Growth	2 (8%)	-	-

¹Size ranges as per Lerner et al. (2011).

4. Findings

4.1. Syndication activity

European VCs syndicate with other VC firms to the same extent that US VCs syndicate. Hence, there was no evidence of less syndication activity in Europe compared to the US in the VC firms sampled. This contrasts with Schwiendbacher's study (2005) which found that syndication is used more often in the US. In fact there was very little difference in syndication activity between UK, continental European and US VCs (Table 4). All of the US VCs, all but two of the UK VCs and all of the continental European VCs syndicated with other VCs on their investments, usually locally but sometimes internationally. It could therefore be the case, as one interviewee suggested, that syndication activity has become more common in Europe in recent years: *"The U.S. has always felt a bit more clubby, you know, so I find a deal and I'd rather share it with my mates than keep it to myself and London I think is beginning to go that way too with some of the internet/digital media things but it never used to be like that. It used to be: 'I've got a good deal and I'm going to keep it!' Now I might choose a syndicate partner."* (UK VC 18) According to the European Investment Fund (2018) in a study undertaken in 2017 the majority of VC managers in Europe (56%) found co-investors with whom to syndicate "relatively easily," although two-fifths of the fund managers did report some difficulties in finding co-investors (13).

4.2. Rationale for syndication

Syndication was driven by more than purely monetary reasons. Just 22% of UK VCs, 27% of continental European VCs and 24% of US VCs said that they syndicated for money reasons. The value add that can be obtained from other syndicate partners and the opportunity to share due diligence on deals were also mentioned by interviewees. It has been suggested by Manigart et al. (2002) that there is greater tendency to syndicate for monetary reasons in Europe compared to the US. This may be due to the relative scarcity of funding in Europe for scaling up ventures. Stakeholder interviewees commented that Europe "suffers" due to its smaller fund sizes than the US and this results in difficulties in supporting follow-on rounds and in scaling (Coutu 2014). Indeed, Europe consistently suffers from a shortfall of venture finance (Aernoudt 1999, 2017). This lack of funding was seen to be more of an issue at the later stage investment rounds than at seed and early stages by the stakeholders: *"There's a massive inefficiency in the UK because you haven't got scale of funds; you're forever having to look to raise another round of funds and then another round of funds and at each break point for the next fundraising, there are valuation disputes, there are allocation disputes, it's just hugely inefficient, a huge drain on management time."* (UK Limited Partner 2). A European VC related interviewee (VCR 3) commented that: *"In Europe you just don't find large enough VCs that could really bring you all the way up,"* that is to scale.

However, a greater propensity of European VCs to syndicate for monetary reasons, and so provide much needed additional finance for scale-up purposes, was not so apparent in the sample of VCs interviewed. Whilst syndication by US VCs often occurs for non-monetary reasons *"We syndicate not because we need to (we have the ability to write the whole cheque if we wanted to) but because we want to."* (US VC 41), some US

VCs also appreciate the additional finance and reduction in risk that syndication provides: *“We want someone whom we think is rational, who we have a personal relationship with, who also has a deep pocket as part of our syndicate and so doing things on your own doesn’t make any sense because you don’t know what bad things will happen.”* (US VC 36). US, UK and continental European VCs referred to the “deep pockets” that syndicate members can provide in case “bad things” happen, such as a portfolio company running out of cash due to market timing issues or unexpected cost increases. Having additional finance available from the pooling of syndicate resources reduces the risk to an individual VC of providing the full finance itself and better allows for a “buffer” of finance in case of unforeseen difficulties arising. Often, though, US VCs, unlike European VCs, can fund the whole deal themselves and are mainly syndicating to pool the expertise of syndicate members.

Some 22% of UK VCs and 10% of US VCs said that they syndicated for the value add gained from syndicated partners. Syndication provides access to “smart” money through introductions and connections and resource networks that the VCs have made with syndicate members. Overall, however, as noted above, it de-risks an investment for an individual VC, especially if the investment is early stage: *“Sharing risk in early stages is the sensible thing to do.”* (UK VC 18).

VCs may also share due diligence between syndicate members: for example they might split the work on carrying out due diligence interviews with a company’s customers or they might share the technical due diligence (UK VC 3, UK VC 72, Finnish VC 60). If coming into a deal later than other syndicate members VCs might review the due diligence already carried out by syndicate members but would *“refresh it”* themselves (UK VC 18). VCs might also benefit from introductions and deal flow for subsequent investments coming from syndicate members.

4.3. Club seed deals

There was evidence of US VCs clubbing together with relatively small investments in very early, seed-stage investments in order to “test the water” and not to miss out on potential outlier investments, more so than UK and continental European VCs. In total, 48% of the VCs interviewed were investing at the seed and/or early stages (44% of US VCs, UK 46%, E 60%). Some of the firms, particularly those based in Silicon Valley, invest at the seed stage in order to test the market. For example, one Silicon Valley-based US VC makes seed investments from \$50 k to \$1 m particularly in the consumer sector: *“Let’s take a little of it and see if something pops. We’re not going to spend any time on it, we’re not going to go on the board, etc.”* (US VC 39). Another Silicon Valley VC (US VC 41) has a \$20 m seed fund which it uses to make *“experimental investments with far out things”* which are not yet ready for full VC investment. This VC slims down the investment decision-making the process so that just one partner can decide on an investment of up to \$250 k in just one meeting with a company. Another VC in Silicon Valley, which operates out of both the Valley and South-East UK, has a sole focus on seed investments (US VC 35), sometimes investing when there is no business plan. *“I think that where you’re seeing huge syndicates is at the seed level and that’s where there are a lot of club deals happening.”* (US Silicon Valley VC 43).

A US LP (LP5) commented on this “betting” on small seed investments: *“If you have a \$200 million fund it’s very easy to make a series of small bets of seed stage, \$250,000. That doesn’t hurt you very much and you get a lot of options on putting a lot of money to work behind the actual ones that work.”* Whilst this “testing of the market” was more common amongst the US Silicon Valley VCs in the study there was one continental European VC who commented that they also invest at the seed stage in order to get a “foot in door” (E VC 49). In the competitive environment of Silicon Valley VCs do not wish to miss out on potential outlier investments, hence the clubbing together at the seed level. Having invested, subsequent non-performing companies in the syndicate are weeded out: *“We’ll all invest in a dozen search engine companies and then we’ll kill the ones that aren’t performing and we’ll all carry on syndicating in the ones that do perform”*. (UK LP 2) This clubbing together of US VCs (and to a lesser extent by UK and continental European VCs) in seed stage investments has not been addressed in previous research.

A greater propensity to exercise the option to invest at the very early seed stage in order to “test the water” by US VCs, particularly those based in Silicon Valley, reflects the greater propensity for risk exhibited by these firms. If such investments succeed they might give rise to outlier performance, a contributor towards the overall better fund performance of US VCs (Arundale 2018). In deciding whether to invest at this very early stage the VCs are engaging real options theory whose drivers are uncertainty and competitive pressures. If VC firms are operating in a highly competitive market, as is the case in Silicon Valley, they may invest at an earlier stage despite the relative uncertainty inherent in such deals.

4.4. Alignment of syndicate interests

Alignment of syndicate interests was discussed by almost half (47%) of the VCs. There was evidence that US VCs syndicate with other VCs that they know, even if the other VCs are competitors, in order to aid better alignment of interests and less conflict between syndicate members. Eight US VCs said that they syndicate with people they like, respect and trust: *“We tend to invest with the same half dozen friends consistently over time.”* (US VC 37). In order for a VC syndicate to work effectively all syndicate members should share the same goals and aspirations for a deal, have similar investment styles and have an agreed timeframe in mind for achieving an exit. The efficacy of working with co-investors often depends on the composition of the board: *“We know what each other is like and we know what makes each other nervous or not nervous or whatever. He’s pushy, he’s arrogant, he’s a loud mouth, he makes bad choices, he can’t deliver the things he says he’s going to deliver and he’s just a bad board member”*. (US VC 40) As a US corporate VC commented: *“When you are working with these same venture capital companies, on a regular basis, you know you have to kind of play nice if you want to get invited to other deals.”*

US Silicon Valley VCs commented that their competitors were like-minded and so make the best syndicate partners: *“So your biggest competitors are often your best partners because you get people on a board situation that are like-minded and have, you know, the similar interests in mind for the company. You may be competing on a new deal in the morning and be on a board with the same partner later in the afternoon.”* (US VC 39) The concentration of VC firms in Silicon Valley facilitates the syndication of investments by

those VC firms through the strong, close networks that have been developed in the Valley (Zhang 2007).

VC firms stressed how important it was for the interests of syndicate members to be aligned in order for the syndication to work effectively. Syndicates work well if the investors are properly aligned in terms of having similar fund sizes, similar investment horizons and similar operating philosophies: *"We've been in companies where somebody wants to sell because they're in a ten-year-old fund and I'm in a two-year-old fund, and you have conflicts and stuff."* (US VC8). VCs may carry out quite substantial due diligence on a syndicate partner before they bring them in to the syndicate and if alignment of interests cannot be achieved then the deal does not proceed.

The alignment of syndicate interests is particularly important in the context of exit strategies: *"The biggest problem is getting everyone aligned to act before it's too late."* (UK VC 20). Some VCs in a syndicate may be keen to exit perhaps because they need to show a realized return to their own investors. Other VCs may prefer to wait for a more optimal exit. This is particularly important with international syndicates where one member might have a high risk, high reward strategy (the US West Coast model) and one has a low risk, commensurately lower reward model (the continental European model). Some syndicate VCs may wish to exit from a poorly informing investment; their co-investors may wish to hold on to it: *"I said to my co-investor, 'Hey, it seems to me like we should probably just sell whatever we've got and be done with this.' And his answer was, 'This is my first investment in a new fund, I can't do that, maybe you have that relationship with your LPs and that's great but I don't, I can't have a loss this early on.'" (US Silicon Valley VC 40). Ultimately this can result in a loss for all syndicate members as with US VC 40 where they did provide another \$2 m into the business and the business subsequently failed. Syndicate members may also have different expectations as regards the pricing of exits which can lead to friction between syndicate members, as illustrated by UK VC 19: *"Yes it's the maximum amount of disharmony to be honest. So we had an investment in a company and I had one investor who would have sold it at any price. I had another investor who wanted a ridiculous price and we were somewhere in the middle and that was dreadful."* Eight stakeholders also referred to the importance of alignment of interests in a VC syndicate, particularly in connection with agreeing on the exit strategy for an investment: *"Some funds try to force an exit quicker than we would like."* (US CVC).*

Because of issues with alignment of interests, some VCs may prefer not to syndicate. This was the case with two UK VCs in the sample. UK VC 6 tends not to syndicate any more as: *"We concluded a lot of the syndicate stuff is very complicated. Behaviourally, there's a lot of volatility. We've had lots of bad experiences (with syndication)." UK VC 16 has a fairly broad sectoral approach and does not syndicate except on technology deals, particularly medtech (diagnostics and pharmaceutical services) where *"things can take a long time."* Issues can arise with syndicate members investing through funds of different vintages with different time horizons to exiting investments, different mindsets and cultures with some syndicate members not being as commercial or risk orientated as others. There may be potential conflicts on pricing and terms of a deal. There may also be disagreements between what should be done with poorer performing investee companies, for example whether to provide more finance and/or whether to replace elements of the management team.*

4.5. International collaboration

International syndication was an area where there was a notable difference between the syndication activities of European and US VCs.

35% of UK VCs and 47% of continental European VCs said that they actively syndicate with US VCs (Table 4). This compares with just 19% of US VCs who said that they invest with UK/European VCs. This is despite efforts made by the Department for International Trade (DIT) in the UK which has the remit of encouraging investment into UK high-growth companies through its Venture Capital Unit: *"I'm relying on the fact that Europe or UK, to be specific, does want syndication, because it's the fundamental of what we're doing in terms of, in the Venture Capital Unit. We're trying to create sort of more syndication partners so actually bigger and better deals come in."* (UK Advisor 3). *"It's not easy (to get US VCs to want to invest in UK companies). The investors are not interested in hearing again that, you know, Richard Branson's a great entrepreneur and we've got lots of diverse universities. They want to see, 'Show me the entrepreneur and the product.' There may be a special relationship (between US and UK) but there there ain't no special relationship when it comes to venture capital. Venture capital is interested in returns and that's it, not doing any special favours".* (US Advisor 7).

This evidence that European VCs syndicate more with US VCs than US VCs syndicate with European VCs is consistent with previous studies which found that there is more activity in the US by European VCs than in Europe by US VCs. Lerner et al. (2011) found that a "much larger share of European VC funds invest in the US than the other way around" (17). They show that less than 20% by number of the funds which were raised by US VCs between 1990 and 2005 had made an investment in a European company whilst around 40% of European funds had invested in the US. This improved slightly for funds which were raised between 2006 and 2009. Nevertheless, Lerner et al suggest that "Europe does not offer an attractive proposition to US VC funds" (14). US VCs do not need to look to Europe for their investment opportunities as they *"have tons of opportunities over there"* (UK VC 27). In 2017, US West Coast investors were involved in 74 deals with UK companies, totaling £1.08bn representing just 4.8% of all UK investments by number (Beauhurst 2018). However, the extreme competition to do deals in the US, especially in Silicon Valley, has resulted in a rise in valuations. The lower valuations in Europe, along with the attractions of technology talent, investable hard science, strong intellectual property and a common language, is prompting US VCs to show more interest in European companies (Beauhurst 2018).

Data provided specifically to the author from Beauhurst (Table 5) show that the number of UK deals involving US VCs have risen in line with the overall increase in total UK deals over the 10-year period from 2011 to 2020. However, the deals involving US investors represent only a relatively small proportion of all UK deals; there were some 182

Table 4. Syndication activity.

Theme category	Frequency analysis
Syndication (US 21, UK 24, E 15)	• 100% US VCs, 100% E VCs and 96% UK VCs actively syndicated • 24% US VCs, 22% UK VCs and 27% E VCs syndicated for monetary reasons • 10% US VCs, 22% UK VCs and no E VCs syndicated for value-add reasons • 19% US VCs, 35% UK VCs and 47% E VCs syndicated internationally

Table 5. UK deals involving US and EU investors (sourced from Beauhurst at author's request).

	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020 (9 m)
Total UK deals	515	775	1,042	1,443	1,617	1,607	1,857	1,877	1,960	1,209
US only	17	17	18	28	49	31	43	50	44	24
US and UK	28	52	42	51	59	67	111	111	102	72
US and EU	8	12	10	15	24	20	32	32	39	33
All involving US	51	79	64	88	113	114	166	177	182	116
EU only	42	53	63	76	86	101	155	141	151	98

deals in total involving US investors in 2019, 9% of the 1,960 deals in that year. In any of the past 10 years, the highest proportion of deals with US investors to total UK deals is 10%; the lowest proportion is 6%. Table 5 also shows that US investors appear more willing to syndicate with UK investors on deals than do deals in the UK on their own or with EU investors. Whilst this involvement by US investors in UK deals is relatively small in terms of the number of deals, they account for a much larger share of UK deals in terms of the amount of the investment that they have made in the UK. Of the £8.27bn of total investment in UK companies in 2017, £2.15bn (25%) involved US investors and £1.7bn (20%) involved investors based in Europe (Beauhurst 2018). Data subsequently provided to the author by Beauhurst for 2019 shows that US investment in UK companies had increased to £4.5bn representing some 38% of the £12bn total equity investment in UK companies in that year, whilst EU-based investors remained at 20% with £2.4bn invested. Hence whilst US investors only invest in a relatively small proportion of UK deals, when they do invest they invest in large amounts. Hellmann et al. (2016) show that these amounts are invested primarily at the later stages; the percentage of finance provided by US investors in UK VC deals increases from 18% at the seed stage to 50% at the Series E stage.

4.5.1. Rationale for international syndication

UK/European VCs syndicate with US VCs for a variety of reasons. Finance to fund scaling up of a home-based company is the primary driver but VCs may also invest alongside US VCs who have the requisite sector expertise or existing connections with US companies for collaboration or exit purposes. Because of the issues with syndication noted above VCs will only syndicate internationally if the “fit” with their syndicate partners is good.

Whilst few US VCs syndicate with UK/European VCs, those that do (just five VCs in the study) may choose those overseas VCs where they feel more comfortable investing, with partners who have similar investment interests and who they can come to trust. If they are investing in a European deal, and have no local office themselves, they may have “*at least one VC that’s local*” (US VC 55). A European VC can provide much needed expertise to help with the expansion of a US company into Europe.

4.5.2. Issues with international collaboration

US VCs can be reluctant to syndicate with European VCs. Three US VCs specifically said that they have not invested with European VCs because of differences in investment approach and style: “*American CEOs think that European VCs just want to drip-feed them. American CEOs think that European VCs under-capitalise companies. American CEOs think they’re playing long ball and that European VCs are playing the short game. There’s a cultural mismatch that’s very strong.*” (US VC 36). US VCs may want to move things on faster, have

more ambition and more sense of urgency: *"In Europe going fast is not the key element; it's more, you know, spending less."* (Swiss VC 49) UK/European VCs may prefer to syndicate with VCs that have roughly the same objectives, timeline towards exit, decision-making styles, and fund sizes. US VCs with their larger fund sizes may not be compatible with the smaller UK and continental European funds: *"We find it difficult to have an investor that manages 3 billion and an investor that manages 50 million because at one point in time you have completely different perspectives of how much money you should and want to put to work."* (German VC 14) US VCs may be quite critical in terms of who they are investing with; European VCs are just *"happy to take the money"* and are less critical (German VC 61).

European VC are not as collaborative with each other as are US VCs: *"It doesn't have that collaborative, respectful competition that you have in the US. Everyone will take a meeting in the US. And kind of very open, very amenable."* (UK CVC 1) US VCs are better at reducing information asymmetries on deals through collaborative syndicates where they pool expertise and knowledge on deals. European VCs are more proprietary, with less sharing of information, which is not as conducive to optimal investment and fund performance.

The difference in risk approach or style between US and European VCs and the impact on their willingness to syndicate was noted by six stakeholders interviewed (1 LP, 1 VC related, 2 advisors, 2 CVCs). One commented as follows: *"I had this recently with a couple of French VCs, all feared the US VCs. They didn't want US VCs to get involved because their appetite for risk is much higher and they're much more willing to throw a lot more at a problem or at an opportunity."* (US Advisor 6). Hege, Palomino, and Schwiendbacher (2009) reported that US firms perform worse when they invest in Europe and Europeans perform better when they invest in US. This may be due to this difference in approach: *"Europeans with US syndicates will get a lift and the US with European syndicates will get a drag."* (UK LP 3). European VCs also tend to be rather *"cliquey"* in terms of the firms with which they syndicate, preferring to work with a relatively small number of preferred partner VCs who they respect and trust from their past dealings. They also have more of a proprietary approach to investing than US VCs, keeping deals to themselves and their small circle of co-investors and not sharing more widely in the community, as expressed by a US VC related interviewee: *"When I got to the UK in the early days there was a combination of two things: one is a sort of more 'I want this deal to myself' you know what I mean? And number two was it's a small universe of VCs and so it's not as natural to find a partner where it's hard to go from a situation where you are really banging heads and competing hard on a deal and in the next breath saying 'well why don't we work on it together' right, I mean in the US there are enough firms where cooperation can just exist more naturally."* (US VC related 7).

Seven UK/European VCs in the study commented that they do not syndicate with US VCs and only syndicate with other UK VCs with whom they have a positive relationship. There were two reasons for this position. First was the view that *"US VCs have plenty of opportunities at home, especially Silicon Valley VCs"* (French VC 70). Second was the issue of getting US VCs, particularly those from Silicon Valley, to syndicate on UK deals due to the difficulty in monitoring investments due to the distance involved from the US *"unless the management team moves to the Valley"* (UK VC 26).

4.5.3. Entrepreneurial friendly versus investor-friendly terms

US VCs, particularly those located in Silicon Valley, have “entrepreneurially friendly” terms in their offer letters or term sheets which are focused on the upside potential of an investment which contrast with the more “investor friendly” terms in some European and US East Coast term sheets which are focused on downside protection. “Entrepreneurial friendly” terms mean that the valuations offered by the VCs are higher and more attractive to entrepreneurs, with onerous terms not included in the offer letter or term sheet. This is because of the competition involved in doing deals that is particularly evident in Silicon Valley. “Investor friendly” terms, in contrast, may include full ratchets, multiple liquidation preferences and cumulative dividend streams. The use of investor friendly terms by European VCs can be a source of aggravation to US VCs: *“We’ve had more aggressive and unpleasant negotiations with European VCs than any other.”* (US East Coast VC 25) *“No American CEO wants a European VC. I worked for a European VC because they do things exactly as you describe. What are our dividends that we’re going to get? Questions that American VCs just vomit all over.”* (US Silicon Valley VC 36). This approach of European VCs in insisting on investor friendly terms which protect their downside exposure as opposed to the focus of US VCs on the upside potential of investments makes them less attractive partners to US VCs when syndicating deals.

More US VCs said that they had “entrepreneurially friendly” terms in their term sheets than UK and continental European VCs. US VCs commenting on investment terms cited the use of entrepreneurially friendly terms as a key difference between US and European VCs. US VC 41 commented that European VCs look for every reason to say “no” to an investment: *“Europeans are saying how do I not lose and Americans look at the question how do I win?”* However, European VCs do not necessarily agree that downside protection is a purely European focus: *“I think the downside thing is a misnomer. Companies nearly go bust everywhere. I sit in a partners’ meeting in California; the way that they talk about deals and the downside and everything is very much the same.”* (UK VC 19).

Stakeholders agreed with the concept of the difference between entrepreneurially friendly and investor-friendly terms. Six commented on the difference between US and Europe, with the US being seen to be entrepreneurially friendly and Europe being seen to be investor-friendly (2 VC related, 1 advisor, 3 CVCs). The reason that European VCs are more cautious in their investment approach is attributed to their historically poorer investment performance: *“The history and the track record of the industry in Europe is things go wrong most of the time and when it goes right it doesn’t go very far. It’s actually quite rational to think maybe I should be a bit careful here.”* (UK advisor 2). The use of more investor-friendly terms is entirely rational and problems with scaling makes it reasonable for UK VCs to want to protect the downside: *“There is such a track record of failure of European and Israeli companies trying to break into the US. It’s much harder than people think and it costs a lot more money. Then it becomes entirely rational to want to protect a little bit more of the downside when the upside does require another jump.”* (UK CVC 1)

5. Conclusion

This study has contrasted syndication activity by UK/European and US VCs and explored the extent to which UK/European and US VCs syndicate with each other. The study has highlighted the rationales for syndication of European and US VCs, notably risk sharing,

raising additional finance and accessing value add from the different expertise of syndicate members. A key focus has been on the alignment of interests of syndicate members internationally across borders, differences in propensity for risk and issues in collaborating on deals.

There was no evidence of less syndication activity in Europe compared to the US in the VC firms sampled. There was evidence that US VCs syndicate with other VCs that they know, particularly in technology “hotspots” such as Silicon Valley, even if the other VCs are competitors; this was seen as providing better alignment of interests and reducing conflict between syndicate members. There is a smaller pool of VCs in UK and continental Europe in the technology “hotspots” for syndication purposes. The motivation of VCs for syndicating was not for predominantly monetary reasons, though this may be a benefit, but more to share risks and pool expertise on an investment. The study found that US VCs can be reluctant to syndicate with European VCs because of their lower propensity for risk and their over-protectionist approach to such matters as investment terms. There was also evidence of US VCs clubbing together with relatively small investments in very early, seed stage investments so as not to miss out on potential outlier investments. This practice was less common amongst UK and continental European VCs.

Syndication by US VCs with UK/European VCs on European/UK deals, accounts for a relatively low proportion of total deals by number, though a somewhat higher proportion in terms of the amount invested. Despite the reluctance of some US VCs to syndicate with European VCs in this study a report from KPMG does note that “many US investors are choosing to syndicate with European VC partners” (KPMG 2017, 73). The foreign exchange rate post-Brexit, the lower valuations of European companies and the increasing competition for deals in the US has encouraged some US VCs to seek investment opportunities in European companies. Syndication with European VCs should facilitate a closer geographical connection with their investments. The adoption of more of the best investment practices of US VCs by UK and continental European VCs is a further enabling factor (Arundale 2020). However, US VCs’ involvement in European syndicates is still a fraction of the total investment activity of US VCs: *“US investors are still by and large happy to invest within 30 miles of their office.”* (UK Adviser 2).

The study finds that the US VC style is more collaborative than the European more proprietary style. US VCs can be reluctant to syndicate with European VCs who tend to have a lower propensity for risk and insistence of the inclusion of investor-friendly terms to protect their downside exposure on investments. Viewed from an agency theory perspective it would appear that US VCs are better at reducing information asymmetries on deals through more effective collaboration with other VCs and pooling of expertise and knowledge about a deal than are European VCs. The pooling of expertise and collaboration which was more evident with US VCs than with European VCs can lead to better outcomes with due diligence at the investment stage and to improved value add from the different syndicate members, contributing to better investment outcomes and therefore improved fund performance. The more proprietary approach of European VCs and conflicts between syndicate members in terms of when to exit from investments is not as conducive to optimal investment and may well contribute to the poorer performance of European VC funds as compared to US VC funds. This builds on the wider study of which this investigation is a part (Arundale 2018) which link the structural, operational

and wider environmental differences between UK and continental European VC firms and US VC firms to the historic gap in performance between European and US VC funds.

5.1. Implications for policy and practice

With the relative lack of patient capital in the UK and continental Europe, increased syndication by US VCs in European deals is to be welcomed. The additional finance that US VCs can bring to companies will enable the companies to grow and scale internationally. US VCs, therefore, need to be encouraged to invest in UK/European companies that are backed by UK/European VCs if additional financing for scale-up is to be made available to supplement government programs such as those from the European Investment Fund and the British Business Bank. To help facilitate this, US VCs need to be made more aware of the progress made by the UK/European VC industry in adopting more of the US style of investment practices and of the improving returns of European VC (British Business Bank 2019). This could potentially be achieved through PR initiatives by the European VC associations and other interested parties such as the Department for International Trade in the UK which has had a program to encourage US VCs to invest in UK companies for some time. Over the five year period to 31 March 2020, the Venture Capital Unit of the DIT has directly supported over £2bn of VC and corporate VC investment into the UK. Similarly, entrepreneurs should be encouraged to see the benefits of having syndicates of investors, including US VCs, in their companies which would help to alleviate some of the issues with the current lack of patient capital in the UK to scale up their operations. The shortage of later-stage finance led the UK government to commission a review into long-term finance for growing firms (HM Treasury 2017). As a result of this review the UK government has earmarked some £20 billion, over a 10 year period with private sector support, to finance growth in innovative firms. This may go some way to addressing the shortage of finance to scale up companies in UK. However, these monies may simply replace funding that might have been available from the European Investment Fund prior to the Brexit decision. However, it is important to emphasize that more than just money is needed in order to address the scaling issue in Europe which is also constrained with its relatively small and fragmented markets. Increased drive and ambition by management would help to grow companies and match the “thinking big” culture in the US (Arundale 2018).

It might also be appropriate to form a joint Government and private sector backed fund of funds to encourage co-investment together by UK/European and US VC funds. Working together in this way might encourage the sharing of best investment practices by European and US VCs and possibly the reconciliation of attitudes towards risk and other cultural differences of European and US VCs. Lessons can be learned and best practices shared from cases where, largely on later stage deals, there has been syndication between US VCs and European VCs. The British Business Bank has extended its venture capital investment program in the UK, forming a subsidiary, British Patient Capital, with a £2.5bn fund to enable it to provide greater levels of investment into individual VC funds that would otherwise find it difficult to raise capital. Perhaps some of this money could be directed towards joint UK/US VC funds.

To the extent that they are not currently in place UK/European VCs need to build close networks with likeminded US VCs where they can trust each other and work collaboratively together. European VCs can learn best investment practices from US VCs to help improve fund performance (Arundale 2020). International organizations can help here, such as the Tech Tour (www.techtour.com) which facilitates the meeting together of international VCs in discovering investment opportunities in specific European countries. Alignment of interests of international syndicate partners, including in such areas as exit routes and their timing, could be maximized through better communication and collaboration. The pros and cons and the practicalities of syndication need to be clearly set out in training material for newer VCs.

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